BASIC ECONOMIC CONCEPTS

Samir K Mahajan

RESOURCES / MEANS OF PRODUCTION/ FACTORS OF PRODUCTION / INPUTS OF PRODUCTION

Resources are the inputs into the production of goods and services which includes the followings:

- **Human Resources: *Labour and Entrepreneurship*. It All forms of human input, both physical and mental, into current production. The labour force is limited both in number and in skills.**

- **Natural Resources: *Land, mineral resources and Raw Materials*. These are inputs into production that are provided by nature: e.g. unimproved land and mineral deposits in the ground. The world's land area is limited, as are its raw materials.**

- **Manufactured Resources: *Capital*. Capital consists of all those inputs in production that have themselves been produced: e.g. factories, machines, transport equipments and tools. The world has a limited stock/supply of capital: The productivity of capital is limited by the state of technology.**

Thus, Resources are scarce in supply.

NEED, WANT AND UTILITY

- **Need** is something one have to have . Something one can't do without say food and water, shelter, clothing, basic health.

- **Want** is something one would like to have/a specific feeling of desire.

Everything that goes beyond need –say a big house, name-brand clothes, fancy foods and drinks, a new car – is a want.
Human wants for goods and services are unlimited, and they have different priorities. That is we can rank our wants as per the priorities.

- **Utility** is the capacity of a commodity to satisfy a want . In other words, utility is the want satisfying power of commodity.

SCARCITY

The reasons for scarcity are: human wants are unlimited, and means (resources) available to satisfy these want are limited.

- **Scarcity, thus, is the excess of human wants over what can actually be produced. Scarcity is the mother of all economic problems.**

- **Had resources been unlimited, economic problems would not have arrived.**

- **Economics thus studies how people deal with scarcity**

ECONOMIC PROBLEMS : THE PROBLEM OF CHOICE

The economic problems are the problems of choice. Problem of choice arise due to the following facts of life.

- **Though human wants are unlimited, all wants are not equality important, and thus have different priorities.**

- **Limited means available to satisfy unlimited wants have alternative uses.**

Thus the mismatch between multiplicity wants having different priorities and limited means having alternative uses gives rise to the problem of choice and economic problem.

WHAT IS ECONOMICS???

The fact is that economics affects our daily lives. Virtually everyone agrees on the importance of economics but there is far less agreement on just what economics is.

A WIDELY ACCEPTED DEFINITION OF ECONOMICS (Robbin's Definition)

Economics is the science which studies human behaviour as a relationship between ends and scare means which have alternative uses

An economy exists because two basic facts, such as:

- **Multiplicity of wants (Human wants for goods and services are unlimited) having different priorities**
- **Scarcity of means of production (Productive resources which produce goods and services are limited).**

With our wants being virtually unlimited and resources scare, we cannot satisfy all our wants and desires by producing everything we want. At any one time the society can produce only a limited amount of goods and services. Goods are scarce because productive resources are scarce.

Economics studies how society manages its scarce resources to satisfy unlimited human wants having different priorities.

Some principles of Economics

Principle 1: People Face Trade-off

"There is no such thing as a free lunch." To get one thing we like, we usually have to sacrifice other things we like. Making a choice for one thing requires trading-off one thing against other. Trade-offs are all the alternatives that we give up / sacrifice whenever we choose one course of action or wants over others. ALL decisions thus (whether or production or consumption) involve trade-offs.

Principle 2: Making a decision for a choice involves opportunity cost

Because people face tradeoffs, making decisions requires comparing the costs and benefits of alternative courses of action. The most desirable alternative given up (sacrifice) as a result of a decision is known as opportunity cost. In other words, the sacrifice of best alternative in the production or consumption of a good is known as its *opportunity cost*.

Principle 3: Rational people think at the margin

Economists very often assumes that economic entities (such as individual consumers, producers, factor owners) behave rationally. The seek maximum benefits (gain) from minimum cost(pain). Consumers seeks the greatest level of satisfaction from the purchase of goods and services given their incomes and the prices they face. Firms want to produce the level of output that maximizes the profits.

Some principles of Economics (contd)

Principle 3 contd.

Rational people often make decisions that involves comparing benefits and costs of an activity at the margin. Margin means extra/additional unit or quantity. Marginal decisions are incremental adjustments to a plan of action. Firms choosing what and how much to produce, workers choosing whether to take a particular job or to work extra hours, or consumers choosing what to buy arrive at their decisions by comparing marginal benefits and marginal costs.

For instance: A student might think what extra benefits she is going to get for choosing an additional course, or devoting extra an hour for a course.

'Why is water so cheap while diamonds are expensive' has been answered with marginal principles. Because water is plentiful, the marginal benefit of an additional cup is small. Because diamonds are rare, the marginal benefit of an extra diamond is high.

Principles 4: People respond to incentives

Because rational people make decisions by comparing costs and benefits, they respond to incentives. Incentives may possess a negative or a positive intention. A rise in price of petrol may induce people to use metro rails rather than drive his own car. A subsidy by government on electric car may induce to go for it.

Some principles of Economics (contd)

Principles 5: Trade can make every one better off

Families in stead of producing fro themselves can engage in trades with each other and benefit from it. Trade allows for specialization in products that benefits countries (or families). Countries benefit from trading with one another as well.

Principle 6: Markets are usually a good way to organize economic activity

Markets are arrangements in which firms and households interacts for goods and services. Markets allocates resources through decentralized actions of buyers and sellers. Centrally planned economies like USSR have failed because they did not allow the market to work.

Adam Smith's 1776 work suggested that although individuals are motivated by self-interest, an invisible hand guides this self-interest into promoting society's economic well-being. Invisible hand is unobservable market force that helps the demand and supply of goods in a free market to reach equilibrium automatically.

Some principles of Economics (contd)

Principles 7: Government can sometimes improve market outcomes

Markets are good way to organize economic activity. The indivisible hand usually lead market to allocate resources efficiently. But for various reasons inadvisable hand may not work . There may be thus market failure – a situation in which a market left on its own fails to allocate resources efficiently. undesirable outcomes of market economy.

Examples of Market Failure:

Definition of externality: the impact of one person's actions on the well-being of a bystander. (Ex.: Pollution)
Definition of market power (monopoly) : the ability of a single economic actor (or small group of actors) to have a substantial influence on market prices.
In-equality: because a market economy rewards people for their ability to produce things that other people are willing to pay for, there will be an unequal distribution of economic prosperity.

There are two broad reasons for the government to interfere with the economy: the promotion of efficiency and equality. Government policy can be most useful when there is market failure.

Rationality (RATIONAL CHOICES) AND Marginal principals

Economists often refer to *rational choices*. Rational choices are choices that involve comparing the benefit of any activity against its opportunity cost. This simply means looking at the of the *costs* and *benefits* of any activity, whether it be firms choosing what and how much to produce, workers choosing whether to take a particular job or to work extra hours, or consumers choosing what to buy.

- **rational decision making, as far as consumers are concerned, involves choosing those items that give you the best value for money – i.e. the *greatest satisfaction (utility) relative to cost or expenses.***

- **The same principles apply to firms when deciding what to produce. The firm takes rational decision when sale proceeds/revenues earned exceed the costs entailed i.e. if it adds to profit.**

- **In economics, the notion of rationality is studied in terms of marginal principles.**

ECONOMIC EFFICIENCY

Theory of economic efficiency involves efficiency in production, efficiency in distribution of goods among people (efficiency in consumption), efficiency in allocation of resources.

Efficiency in production involves minimization of cost for producing a given level of output or producing maximum possible from output of various goods from form the given cost incurred on the productive resources.

Efficiency in distribution consists of distributing the given amount of produced goods and services among the individuals of the society such that total satisfaction of the society is maximized.

Efficiency in allocation of resources consists of producing those goods which are most desired most desired by the people.

THE CENTRAL PROBLEM OF AN ECONOMY

The central problems of an economy are

- ***What* goods and services are going to be produced and in what quantities, since there are not enough resources to produce all the things people desire? This basic choice give rise to the problem of allocation of resources between alternative uses.**

- ***How* are things going to be produced, given that there is normally more than one way of producing things? What resources are going to be used and in what quantities? What techniques of production are going to be adopted? This problem relates to the choice of a product method or technique of production.**

- ***For whom* are things going to be produced? In other words, how will the national income/ produced goods and services be distributed among different individuals that comprises the society? This is the problem of distribution. Ideally, it is sought that distribution of income is more equal so that share of individuals are more equal.**

- **Problem of efficient or fuller utilization of resources:** Resources being scarce, it is desirable that they are most efficiently/properly used. There should not be any wastage of these resources. Resources would be utilized efficiently or fully when maximum output can be produced by using the given resources or a given level output can be produced by using minimum resources.

- **Problem of Economic Growth:** Increase in population is a common feature. It is desirable that a reasonable standard of living of the growing population is maintained. For this, it is important to know whether the productive capacity of the economy is growing, declining or remaining static over time. If the productive capacity of the economy is growing, it will be able to produce progressively more and more goods and services with the result that the standard of living standard of people will rise. The increase in the capacity to produce goods over time is called economic growth.

DIVIDING UP THE SUBJECT: MACRO ECONOMICS VS MICRO ECONOMICS

- **Subject matter of Economics is traditionally divided into two main branches – *macroeconomics* and *microeconomics,***

where ‘macro’ means big, and ‘micro’ means small.

- **These terms were firs coined by Ragner Frisch.**

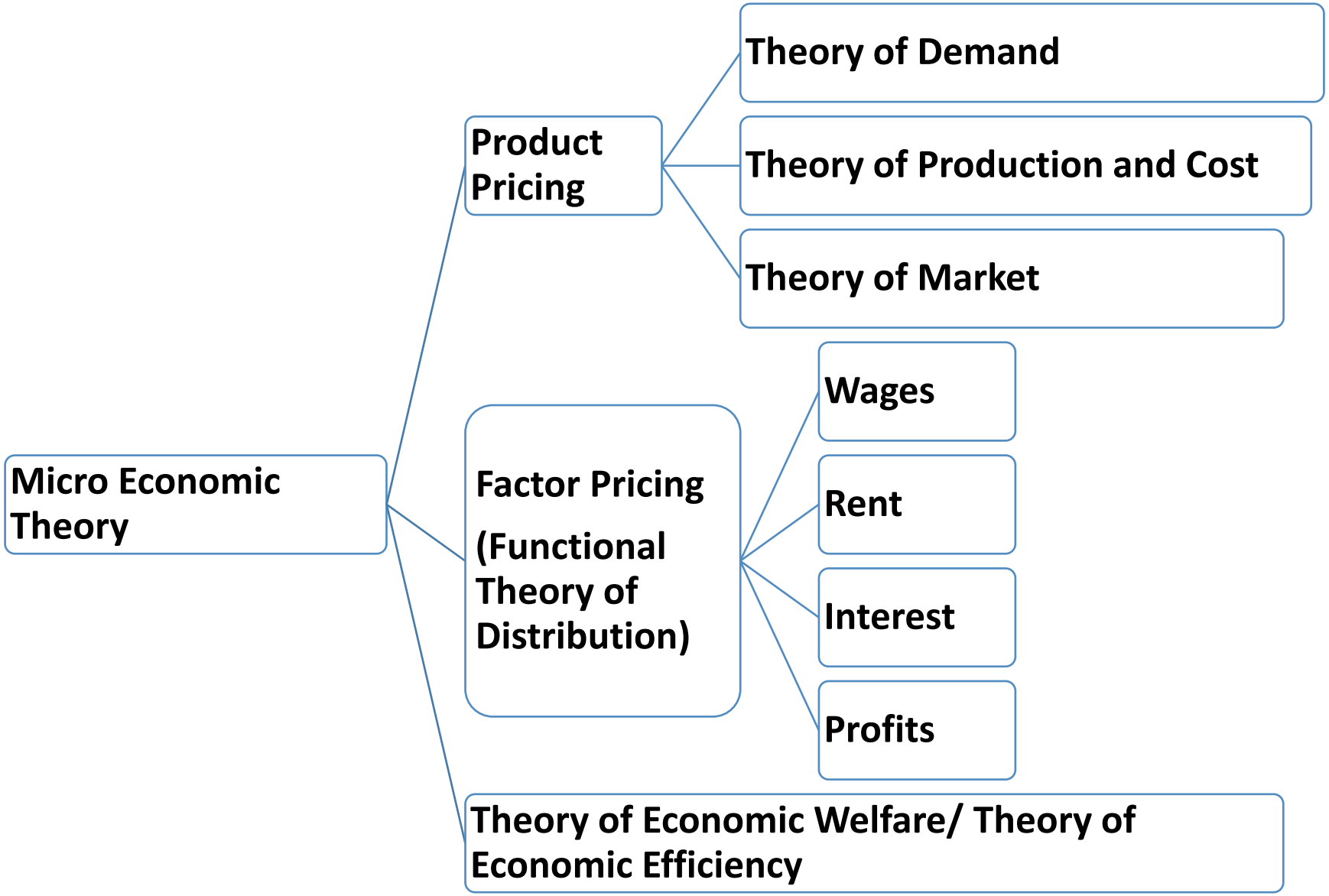
MICROECONOMICS

Microeconomics **looks at the individual parts of the economy. Microeconomics studies the behavior of *individual economic entities* and small group of *economic entities* such as: households, business firms, markets and governments.**

It looks at the choices these individual economic entities make and how they interact with each other. It seeks to determine the mechanism by which the different economic units attain the position of equilibrium/make rational choice, proceeding from the individual units to a narrowly defined group.

The study of economy as a whole remains outside the domain of micro economics.

Micro economic theory studies allocation of resources, product and factor pricing, theory of economic welfare/theory of economic efficiency.

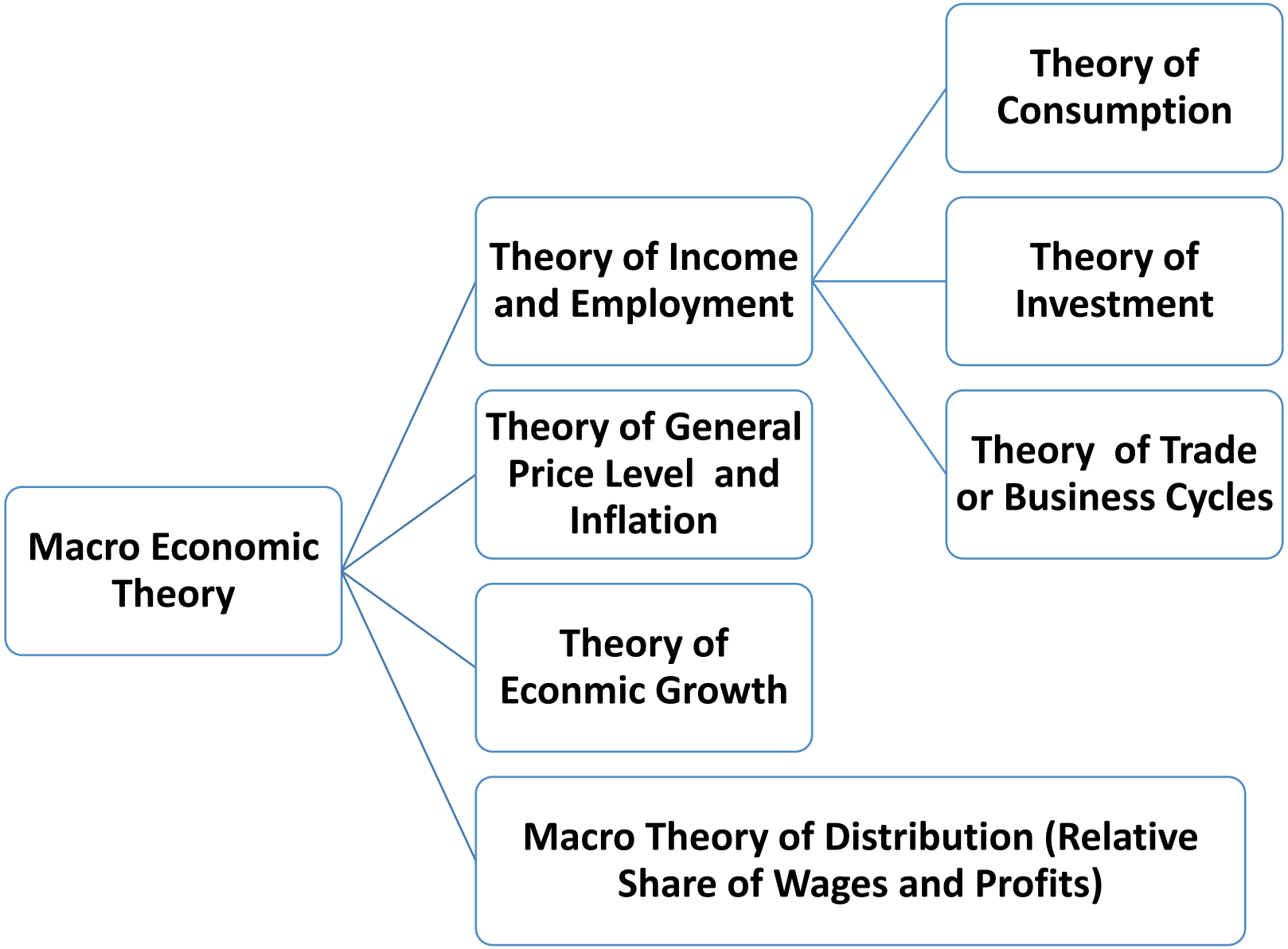

Micro Economic Theory
Product Pricing
Theory of Demand
Theory of Production and Cost
Theory of Market
Factor Pricing
(Functional Theory of Distribution)
Wages
Rent
Interest
Profits
Theory of Economic Welfare/ Theory of Economic Efficiency

MACROECONOMICS

Macroeconomics **looks at the economy as an organic whole. Macro economics studies economic aggregates such as: total output, total demand, aggregate income, total savings, total investment, total employment, rise and fall in general price level, interest rates.**

Study of economic growth or how governments use monetary and fiscal policy to seek growth with economic stability etc. also falls under the domain of macroeconomics.

Macroeconomics focuses on the big picture and ignores the fine details.

Macro economic theory studies theory of employment, theory of general price level, theory of economic growth, macro/aggregate theory of distribution.

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